

Table 9.10 Strategy Summary Statistics (1/1992–12/2014)

	REIT	REIT MOM	GSCI	Alpha Commodities
CAGR	11.61%	14.22%	1.51%	13.61%
Standard Deviation	19.23%	17.90%	20.96%	15.06%
Downside Deviation (MAR = 5%)	16.59%	14.65%	15.06%	11.32%
Sharpe Ratio	0.53	0.69	0.05	0.75
Sortino Ratio (MAR = 5%)	0.48	0.68	−0.08	0.79
Worst Drawdown	− 68.30%	−57.20%	− 69.39%	−45.59%
Worst Month Return	− 31.67%	−25.55%	− 28.20%	−24.28%
Best Month Return	31.02%	18.12%	19.67%	14.90%
Profitable Months	62.68%	64.13%	55.43%	62.32%

As shown in [Table 9.10](#), adding momentum to REITs adds nontrivial value to a portfolio. The REIT Momentum portfolio outperforms the passive REIT index on all measures. Also shown in [Table 9.10](#), sorting commodity futures on backwardation and momentum greatly improves the performance of a commodity exposure relative to a passive commodity index such as GSCI.

So you might be wondering: What happens if we add improved REIT and commodity strategies to a DIY portfolio? We're about to find out. Here are the four strategies we tested from January 1, 1992, until December 31, 2014:

- Ultimate DIY = 60% Equity (15% US Value, 15% US Momentum, 15% international Value, 15% international Momentum); 20% Real (10% alpha commodities, 10% enhanced real estate); 20% Bonds. Risk-managed with ROBUST.